



India's Consumer Boom

As rapid economic growth shapes India into a consumer-driven society, it is also reshaping markets and businesses

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50 | **TODAY, INDIA IS** a consumption economy and a consumer society, and this will accelerate during this decade as the country's economy grows and more segments of the population acquire greater purchasing power.

Hence, in this context, it is crucial to understand the history of consumerism in India.

Consumerism is rooted in Keynesian thought, based on the logic that consumer spending is a key driver of the economy. Today, more than 60% of India's GDP is driven by consumption—similar to the US.

Consumerism represents the democratisation of consumer wants and desires, leading to social status. The first surge in consumerism occurred in the US after World War II. Between 1945 and 1949, Americans purchased 20 million refrigerators, 21.4 million cars, and 5.5 million stoves. The emergence of the US as a consumer society led economists and policymakers

